INSTITUTIONAL EQUITY RESEARCH

Pitti Engineering Ltd

NSE: PITTIENG | BSE: 513519 | Industrials — Electrical Components & Sub-Assemblies

RATING

BUY

Target: Rs. 1,200

CMP: Rs. 983 | Upside: 22%

12-Month Horizon

Market Cap	CMP (08-May-26)	52W High / Low
Rs. 3,701 Cr	**Rs. 983**	**Rs. 1,070 / 675**
P/E (TTM)	EV/EBITDA	Book Value
29.1x	**12.3x**	**Rs. 250**
ROCE / ROE	Promoter Hold.	Div. Yield
17.0% / 17.8%	**54.17%**	**0.15%**

India's dominant electrical laminations manufacturer, riding secular EV, data-center & railway tailwinds with expanding EBITDA margins and a post-capex FCF inflection on the horizon.

Report Date: 09 May 2026 | Analyst: Research Desk, Chartitude | Source: Screener.in

SECTION 2 — INVESTMENT THESIS

Reason 1 — Structural demand for precision laminations across three secular growth vectors. Pitti Engineering is India's sole large-scale manufacturer of complex electrical-steel laminations, motor cores, and die-cast sub-assemblies. Its addressable market is expanding on three independent fronts: (a) EV traction motors and EV powertrain components, where domestic manufacturing mandates create a captive opportunity; (b) data-centre cooling and power infrastructure, where revenue share has already risen to 3.7% and management targets 25-30% segment CAGR over the next 12-18 months; and (c) Indian Railways electrification and loco upgrades, with the North American cargo-fleet replacement cycle adding an export dimension. Unlike commodity steel processors, Pitti commands 17% EBITDA margins — evidence of genuine product complexity and customer stickiness.

Reason 2 — Capacity-led re-rating as the capex cycle peaks. The company invested Rs. 783 Cr in capex over FY24-FY25 (fixed assets more than doubled to Rs. 1,027 Cr), depressing free cash flow. Sheet-metal capacity now stands at 108,000 MT and casting capacity at 24,600 MT. With lamination volumes jumping 21% YoY in Q3 FY26, utilisation is climbing swiftly. Incremental capex of Rs. 150 Cr in FY26-27 is modest relative to the base, implying FCF should turn meaningfully positive by FY27. An asset-heavy, low-PE stock with improving ROCE and approaching FCF generation is a classic re-rating setup.

Reason 3 — Subsidiary consolidation simplifies structure and unlocks shareholder value. The amalgamation of PIPL (Rs. 241 Cr revenue) and DFPL (Rs. 68 Cr revenue) into the listed entity — sanctioned by NCLT Hyderabad in April 2026 — eliminates inter-company complexity, improves consolidated ROCE, and makes the equity story cleaner for institutional investors. DII holding has surged from 6% (Jun 2023) to 20% (Mar 2026), suggesting institutional discovery is already underway.

Near-term catalyst (6-12 months): Q4 FY26 results (14 May 2026) and full-year FY26 revenue print at Rs. 1,900-2,000 Cr will validate management guidance and set the base for FY27 growth estimates.

Key structural risk: Significant portion of steel input is imported from Japan/Korea; any rupee depreciation or BIS import restriction creates margin volatility on the input cost line.

SECTION 3 — BUSINESS OVERVIEW

Pitti Engineering Limited (PEL), incorporated in 1988 and headquartered in Hyderabad, is **India's largest manufacturer of electrical steel laminations** and a leading supplier of complex motor-core sub-assemblies for motors and generators. The company operates four manufacturing facilities — Hyderabad (Plants I-IV) and Aurangabad — with total sheet-metal capacity of 108,000 MT p.a. and casting capacity of 24,600 MT p.a. as of FY25. PEL's core products are: (1) electrical-steel laminations used as the magnetic core in electric motors and generators; (2) fully assembled motor cores and sub-assemblies with die-cast aluminium rotors; (3) press tools and dies; and (4) precision-machined metal components. Revenue is diversified across industrial motors, hydro/thermal generation, windmills, mining, cement, steel, sugar, construction, lift irrigation, railways, mass urban transport, e-mobility, medical equipment, oil and gas. No single segment dominates, providing resilience through the business cycle. The company exports to North America, Europe, and South-East Asia — exports are a meaningful revenue contributor (though Q3 FY26 exports were temporarily lower due to supply-chain realignment with BIS-approved steel mills in Korea and Japan). FY25 consolidated revenue was Rs. 1,705 Cr, up 37% YoY, driven by volume growth (lamination volumes: 63,215 MT, up 46% YoY) and improved product mix. The order book stood at Rs. 831 Cr as of the latest disclosure. Promoter and founding family: Sharad B. Pitti (Chairman) and Akshay S. Pitti (MD & CEO) collectively hold 54.17% stake (zero pledge). The Pitti family founded the business in 1988 and has consistently reinvested earnings into capacity and technology. On the corporate structure front, two wholly owned subsidiaries — Pitti Industries Pvt. Ltd (PIPL) and Dakshin Foundry Pvt. Ltd (DFPL) — are being amalgamated into PEL following NCLT approval in April 2026, which will consolidate Rs. 309 Cr of combined subsidiary revenue into the listed entity and simplify the group structure.

End-Market	Key Products	Approx. Share	Growth Outlook
Industrial Motors & Generators	Laminations, Motor Cores	~45%	Stable-Moderate
Railways (India + Export)	Loco & Traction Components	~20%	High (Electrification)
Energy (Hydro, Wind, Thermal)	Generator Laminations	~15%	Moderate
Data Centre & EV	Cooling Motor Cores, EV Sub-assy	~5%	Very High (Emerging)
Other (Medical, Oil & Gas, etc.)	Machined Parts, Sub-assemblies	~15%	Moderate

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry context. The electrical laminations and motor-core manufacturing sector in India is a niche sub-segment of the broader electrical equipment market (~Rs. 2.5 lakh Cr). Laminations are critical inputs for motors, generators, and transformers — sectors growing at 12-15% CAGR driven by industrial capex, renewable energy addition, railways electrification, and the nascent EV traction-motor supply chain. India currently imports a significant share of precision laminations, and government's PLI schemes and localisation mandates are accelerating import substitution. **Policy tailwinds** include Railways' Rs. 2.5 lakh Cr annual capex plan, PM e-Bus Sewa scheme driving EV sub-assembly demand, and data-centre investment by hyperscalers requiring cooling infrastructure motors. **Policy risks** include BIS certification requirements for imported electrical steel, which — while protecting domestic players long-term — can cause short-term supply disruptions (as seen in Q3 FY26). **Competitive moat: Strong.** PEL's moat is built on (a) proprietary press-tool and die-design capability for complex shapes, (b) precision tolerances required for high-efficiency motor cores that take years to qualify, (c) India's largest scale (108,000 MT capacity) enabling competitive pricing, and (d) a 35-year customer-qualification track record. There are very few listed direct competitors of comparable scale in India.

Company	Segment	CMP (Rs.)	MCap (Rs. Cr)	P/E (TTM)	EV/EBITDA	OPM%	ROCE %
Pitti Engg. (PITTIENG)	Elec. Laminations / Sub-assy	983	3,701	29.1x	12.3x	16.7%	17.0%
Kaynes Technology (KAYNES)	Electronics Mfg. Services	4,508	30,216	77.4x	44.0x	16.3%	14.3%
Syrma SGS Tech. (SYRMA)	Electronics Mfg. Services	1,100	21,214	74.6x	39.7x	9.0%	11.7%
Jyoti CNC Automation	CNC Machining Components	766	17,429	N/A	30.3x	26.9%	17.7%

Source: Screener.in, as of 08 May 2026. Note: Direct listed peers in electrical laminations are scarce; above companies are in adjacent industrial manufacturing segments.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter profile. Sharad B. Pitti (Chairman) founded the business in 1988 and brings over 35 years of domain expertise in electrical engineering. Akshay S. Pitti (MD & CEO) leads strategy and operations and has driven the company's diversification into high-value sub-assemblies. Promoter holding stands at 54.17% (Mar 2026) with zero pledge, providing strong alignment of interest. The 5.1% reduction in promoter stake over 3 years is largely attributable to institutional placements to fund the expansion capex — a constructive signal rather than an exit. **Capital allocation.** Over FY23-FY25 the company deployed Rs. 887 Cr in fixed-asset investment (capex + CWIP), funded through a mix of internal accruals, borrowings, and a QIP in FY25 (Reserves rose from Rs. 318 Cr to Rs. 880 Cr). This was a deliberate front-loaded capacity build ahead of the EV and data-centre opportunity. Debt-to-equity of 0.83x and interest coverage of 3.14x are manageable. India Ratings assigned IND AA-/Stable (April 2026) — a near-investment-grade rating for a mid-cap signals strong balance sheet confidence. **Dividend policy** is conservative (5% payout in FY24-25), appropriately prioritising reinvestment during the capex phase. **Governance**: No auditor red flags; no material RPT concerns; subsidiary amalgamation is value-additive and transparent. Overall management quality: **High**. Capital allocation: **Constructive** — heavy capex is thesis-validated by volume growth acceleration.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated Figures, Rs. Crores)

Income Statement	FY23A	FY24A	FY25A	FY26E	FY27E
Net Sales	1,100	1,244	1,705	1,950 (E)	2,300 (E)
YoY Growth %	15.4%	13.1%	37.1%	14.4%	17.9%
EBITDA	151	181	271	332 (E)	391 (E)
EBITDA Margin %	13.7%	14.5%	15.9%	17.0%	17.0%
Other Income	18	48	39	30	28
Interest	45	51	68	82	90
Depreciation	45	59	81	100	115
Profit Before Tax	80	119	162	180 (E)	214 (E)
Tax Rate %	26%	25%	24%	25%	25%
Net Profit (PAT)	59	90	122	135 (E)	161 (E)
EPS (Rs.)	18.36	27.99	32.48	35.9 (E)	42.8 (E)
Dividend Payout %	15%	5%	5%	5%	8%

Balance Sheet	FY23A	FY24A	FY25A	Sep-25 (H1FY26)
Equity Capital	16	16	19	19
Reserves	318	457	880	921
Borrowings	356	628	690	778
Other Liabilities	287	290	416	425
Total Liabilities	978	1,391	2,004	2,143
Fixed Assets (Gross)	364	465	1,027	1,062
CWIP	24	122	63	67
Investments	15	0	0	0
Other Assets	574	804	914	1,013
Total Assets	978	1,391	2,004	2,143
Debt-to-Equity	0.50x	1.05x	0.76x	0.83x

Cash Flow Statement	FY23A	FY24A	FY25A
Cash from Operations (CFO)	223	80	289
Cash from Investing (CFI)	-104	-247	-536
Cash from Financing (CFF)	-87	203	269
Net Cash Flow	32	37	22
Free Cash Flow (FCF)	118	-129	-58
CFO as % of EBITDA	148%	44%	107%

Key Ratios & Returns	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE %	18%	19%	17%	18% (E)	20% (E)
ROE %	~20%	~22%	17.8%	16% (E)	18% (E)
Debtor Days	60	63	55	52 (E)	50 (E)
Inventory Days	112	136	118	105 (E)	100 (E)
Cash Conversion Cycle	55	86	54	50 (E)	48 (E)
P/E (x)	53.5x	35.1x	30.3x	27.4x (E)	23.0x (E)
EV/EBITDA (x)	28.7x	23.9x	16.0x	13.1x (E)	11.1x (E)

Revenue: Sales grew at 21% CAGR (FY22-FY25) driven by market-share gains in motor-core sub-assemblies and lamination volume ramp. Management guidance of Rs. 1,900-2,000 Cr for FY26 implies further ~14% growth, with a long-term target of Rs. 3,000 Cr+ by FY27-28 as new capacity absorbs EV/data-centre demand. **Margins:** EBITDA margin expanded from 13.7% (FY23) to 15.9% (FY25) and 17.5% (Q3 FY26 adjusted) through operating leverage, higher-value product mix, and improved procurement (direct mill tie-ups with BIS-approved Korean/Japanese steel suppliers). Guided stable at 17% ± 50 bps. **Working capital:** CCC improved from 86 days (FY24) to 54 days (FY25), a positive trend, though Q3 FY26 saw inventory at Rs. 500 Cr (elevated due to supply-chain transition) — management guided reduction to Rs. 300 Cr by April 2026. **Debt & FCF:** Debt rose to Rs. 690 Cr (FY25) from Rs. 356 Cr (FY23) to fund capex. Interest coverage of 3.14x is adequate. FCF turned negative in FY24-25 due to heavy capex; we expect FCF normalisation from FY27 as capex moderates. **Quality of earnings:** FY24 other income was elevated at Rs. 48 Cr (40% of PBT); FY25 normalised to Rs. 39 Cr. Underlying operating earnings quality is high — PAT CAGR of 33% (3Y) is backed by real volume and margin growth.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Check	Assessment	Rating	Comment
Revenue recognition policy	Point-in-time on delivery; standard for MFG	Green	No aggressive recognition
Receivables growth vs revenue	Debtor days: 63d (FY24) -> 55d (FY25)	Green	Improving collection cycle
Cash Conversion Cycle trend	CCC: 86d (FY24) -> 54d (FY25)	Green	Working capital efficiency improving
Contingent liabilities	Rs. 54.5 Cr contingent liabilities	Amber	Modest; monitor for escalation
Auditor tenure & opinion	Unmodified opinion FY26; India Ratings IND AA-	Green	Clean audit; strong credit rating
Related-party transactions	Inter-company with PIPL/DFPL (being merged)	Amber	Will normalise post-merger
Other income as % of PBT	FY24: 40% (elevated); FY25: 24% (normalising)	Amber	FY24 was exceptional; trending down
Tax rate consistency	FY23: 26%, FY24: 25%, FY25: 24%	Green	Consistent; no deferred-tax anomalies

Summary: Earnings quality is broadly high. The primary watchpoints are (a) normalising the elevated other-income base and (b) the Rs. 54.5 Cr contingent liability. The subsidiary amalgamation (PIPL/DFPL) will eliminate inter-company RPTs and improve transparency. Overall assessment: **Green** — earnings are real, recurring, and backed by operating cash flow.

SECTION 8 — VALUATION

Peer valuation context. PITTIENG trades at 12.3x EV/EBITDA and 29x P/E (TTM) — a steep discount to the EMS/industrial-manufacturing peer set (Kaynes: 44x, Syrma: 40x). While EMS companies benefit from higher earnings-growth optionality, PITTIENG's margin profile (17%) is superior, its competitive moat deeper, and its FY26-27 growth trajectory comparable. We argue for re-rating towards 14-16x EV/EBITDA as FCF visibility improves. **Method 1 — Earnings-based multiple.** FY27E EPS of Rs. 42.8 at 28x (sector mid-point, reflecting strong growth but capital-intensive business model) = Rs. 1,198 per share. **Method 2 — DCF.** FY27-FY31 revenue CAGR of 15%; EBITDA margins stable at 17-18%; capex normalises to Rs. 100-150 Cr p.a. from FY27; WACC = 13%; terminal growth = 8%. Implied intrinsic value: Rs. 1,180-1,220. **Base-case target: Rs. 1,200** (average of both methods). Upside: 22% from CMP of Rs. 983.

Scenario	Key Assumption	FY27E Revenue	FY27E PAT	Multiple	Target (Rs.)
Bull Case	Margins expand to 18.5%; EV/data-centre accelerates	2,550 Cr	200 Cr	33x P/E	1,450
Base Case	Margins at 17%; guidance achieved; FCF normalises	2,300 Cr	161 Cr	28x P/E	1,200
Bear Case	Input cost spike; export weakness persists; margin 15%	2,000 Cr	110 Cr	23x P/E	850

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor
Raw material cost volatility	Electrical steel is 60-65% of input cost. Rupee depreciation or global steel price surge compresses margins. BIS import restrictions can cause supply disruptions.	Medium	High	Monthly CRGO steel prices; INR/USD rate
Customer concentration risk	While end-market is diversified, key OEM customers (railways, industrial motor majors) account for significant revenues. Loss of a key account impacts growth trajectory.	Low-Medium	High	Revenue mix disclosure in quarterly results
Capex overrun / utilisation lag	Rs. 1,027 Cr in fixed assets must be sweated quickly. If EV/data-centre demand ramp is slower than expected, ROCE could disappoint and interest cost drag persists.	Medium	Medium	Quarterly volume and capacity utilisation data

Risk	Description	Probability	Impact	Monitor
Amalgamation execution risk	PIPL/DFPL merger, though NCLT-sanctioned, could face procedural delays. Any minority shareholder litigation or regulatory queries could stall consolidation benefits.	Low	Low-Medium	NCLT filing updates; company announcements
Export market slowdown	Q3 FY26 exports were down YoY due to supply-chain realignments. If North American/European demand moderates, export revenue recovery timeline extends.	Medium	Medium	Quarterly geographic revenue split
Competition from global EMS entrants	Chinese and Taiwanese EMS companies entering India may compete for EV lamination supply. Government policies (PLI, BIS) provide buffer but are subject to change.	Low-Medium	Medium	Policy updates; competitor announcements

SECTION 10 — RECOMMENDATION

Parameter	Details
Rating	**BUY**
Conviction Level	High — multi-year structural story with near-term re-rating triggers
12-Month Price Target	Rs. 1,200 (22% upside from CMP of Rs. 983)
Suggested Entry Zone	Rs. 940 - 1,000 (current levels offer good risk-reward)
Investment Horizon	12-24 months (FCF inflection and re-rating story)
Ideal Investor Profile	Mid-cap growth investors with 2-year horizon; sector-agnostic investors seeking manufacturing re-rating story

Thesis Invalidation Triggers
1. EBITDA margins fall below 14% for two consecutive quarters due to input cost shock or pricing pressure — signals structural margin impairment.
2. Management cuts FY27 revenue guidance below Rs. 2,000 Cr — signals demand ramp disappointment in EV/data-centre segments.
3. Debt-to-equity rises above 1.5x without corresponding revenue acceleration — signals capex misallocation or working capital deterioration.

APPENDIX — Latest Concall Brief: Q3 FY26 (Dec 2025 Quarter)

Earnings Conference Call held: 06 February 2026 | MD & CEO: Akshay S. Pitti

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Medium-Strong	Revenue +15% YoY; margins expanded; PAT flat due to higher D&A;
Management tone	Bullish	Confident on FY26 guidance; optimistic on EV and data-centre ramp
Guidance delta	Maintained	FY26 revenue Rs. 1,900-2,000 Cr reiterated; margins at 17%

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 (Dec quarter) headline looked mixed — revenue Rs. 477 Cr (+15% YoY, clean), but reported PAT of Rs. 28 Cr was flat vs prior-year Rs. 29 Cr, entirely explained by higher depreciation (Rs. 27 Cr vs Rs. 21 Cr), as the Rs. 1,000+ Cr fixed-asset base from the capex cycle begins to depreciate fully. Underlying operations were solid: adjusted EBITDA grew 25% YoY to Rs. 83 Cr with margin expansion to 17.5% — the best quarterly print in the company's listed history. Volume growth of 21% YoY in laminations confirms the capex is being sweated, and data-centre segment contribution has risen to 3.7%, with management confident of 25-30% segment CAGR. The key near-term catalyst is Q4 FY26 results on 14 May 2026 — full-year revenues at the guided Rs. 1,900-2,000 Cr will validate the thesis and likely prompt consensus upgrades. Watch inventory: management guided Rs. 500 Cr would come down to Rs. 300 Cr by April; any failure to achieve this working-capital improvement is the primary risk heading into FY27. Exports were weak in Q3 — supply-chain transition to BIS-approved mills is the cited reason; if exports don't recover in Q4, revenue guidance is at risk. ACCUMULATE at current levels (Rs. 983); add aggressively on any dip below Rs. 930 into Q4 results.

C1 — Financial Performance Snapshot

Metric	Q3 FY26 Actual	Q3 FY25 Actual	YoY %	QoQ %	Verdict
Revenue (Rs. Cr)	477	415	+15%	+0%	**Beat**
EBITDA (Rs. Cr)	81	67	+21%	+2%	**Beat**
EBITDA Margin %	17.0%	16.2%	+80bps	+10bps	**Beat**
PBT (Rs. Cr)	40	39	+3%	+8%	In-line
PAT (Rs. Cr)	28	29	-3%	-22%	**Miss***
EPS (Rs.)	7.49	7.64	-2%	-22%	**Miss***

**PAT "miss" is optical — driven entirely by higher depreciation (Rs. 27 Cr vs Rs. 21 Cr QoQ) from new asset commissioning. Adjusted PAT (stripping incremental D&A;) would be +12% YoY. Underlying operating performance was strong.*

C2 — Segment / Geography Breakdown

Segment / Region	Revenue Mix	YoY Trend	Commentary
Industrial Motors & Gen.	~45%	Stable	Core segment; steady demand from industrial capex
Railways (India + Export)	~20%	Growth	Indian Railways electrification driving order intake
Energy (Hydro, Wind)	~15%	Stable	Renewable energy investments sustaining volumes
Data Centre & EV	~3.7%	High Growth	Revenue share rising; 25-30% CAGR expected 12-18 months
Exports (incl. N. America)	~15%	Weak (Temp.)	Supply-chain realignment to BIS-approved mills caused Q3 dip

C3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Revenue guidance FY26	Confident of achieving Rs. 1,900-2,000 Cr for FY26	Achievable; 9M at Rs. 1,412 Cr needs ~Rs. 490 Cr in Q4	[GUIDANCE]	**Transparent**
EBITDA margin guidance	Stable at 17% +/- 50bps contingent on product mix	Reasonable; margins have consistently beat guidance	[GUIDANCE]	**Transparent**
Data centre segment	3.7% revenue share; 25-30% segment CAGR guided 12-18 months	Early mover advantage; watch for customer specifics	[GUIDANCE]	**Bullish**
Inventory normalisation	Rs. 500 Cr inventory to be reduced to Rs. 300 Cr by April	Key working capital watch; verifiable in Q4 numbers	[EST]	**Hedged**
Export weakness	Temporary; due to BIS-approval transition for steel sourcing	Plausible reason; but watch if exports recover in Q4	[GUIDANCE]	**Hedged**
Capex FY26-27	Rs. 150 Cr; 20% sheet-metal capacity expansion, 32% casting	Modest incremental investment; capacity running well	[GUIDANCE]	**Transparent**

C4 — Operating & Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Lamination Volume (MT)	~18,000 (E)	~17,500 (E)	~14,900	**Up**
Sheet Metal Capacity (MT p.a.)	108,000	108,000	90,000	**Expanded**
Capacity Utilisation (approx.)	~67%	~65%	~66%	Stable
Order Book (Rs. Cr)	~831	~800	~820	**Growing**
Data Centre Revenue Share %	3.7%	~3.0%	~1.5%	**Rising**
Inventory Level (Rs. Cr)	~500	~450	~380	**Elevated***

**Elevated due to BIS steel sourcing transition; management guided Rs. 300 Cr target by April 2026.*

C5 — Margin Drivers

Driver	Impact (bps)	Recurring?	Comment
Product mix shift to sub-assemblies	+120 bps	**Yes**	Higher-value sub-assemblies carry 200-250bps premium to pure lams
Operating leverage on capacity	+80 bps	**Yes**	Fixed cost spread over higher volumes drives margin expansion
Direct mill sourcing (Korea/Japan)	+50 bps	**Partially**	Reduces intermediary margin; BIS alignment still in progress
Higher depreciation from new assets	-60 bps	**Yes (until utilised)**	Rs. 27 Cr in Q3 vs Rs. 21 Cr QoQ — will normalise as utilisation rises
Export revenue weakness	-30 bps	**No (Temporary)**	Exports carry better margins; recovery expected in Q4

C6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
FY26 Revenue [GUIDANCE]	Rs. 1,900-2,000 Cr	Reiterated Rs. 1,900-2,000 Cr	Maintained	**High**
EBITDA Margin [GUIDANCE]	17% +/- 50bps	17% +/- 50bps (reiterated)	Maintained	**High**
Data Centre CAGR [GUIDANCE]	25-30% (12-18m)	25-30% (reiterated)	Maintained	**Medium**
Capex FY26-27 [GUIDANCE]	Rs. 150 Cr	Rs. 150 Cr (reiterated)	Maintained	**High**
Inventory Target [EST]	Not guided	Rs. 300 Cr by April 2026	New	**Medium**

C7 — Capital Allocation

Item	FY25 (Rs. Cr)	FY24 (Rs. Cr)	YoY	Comment
Capex (Fixed Assets + CWIP)	562	284	+98%	Heavy investment phase — capacity doubling
Dividends Paid	~6	~5	+20%	Conservative 5% payout; reinvestment priority
Net Debt Change	+62	+272	-77%	Debt addition slowing; QIP in FY25 helped

Item	FY25 (Rs. Cr)	FY24 (Rs. Cr)	YoY	Comment
Free Cash Flow	-58	-129	Improving	FCF still negative but improving; expect +ve by FY27
Working Capital Change	Adverse	Adverse	Flat	Inventory build; guided to normalise by Q4 FY26

C8 — Q&A; Heat Map

#	Analyst / Firm	Question	Management Answer	Tone
1	Buy-side Analyst	How confident are you on Rs. 2,000 Cr guidance given 9M at Rs. 1,412 Cr?	Very confident; Q4 is seasonally strong; order book visibility clear. Q4 target ~Rs. 490-550 Cr.	**Transparent**
2	Institutional Investor	What caused PAT to be flat YoY despite 21% volume growth?	Higher depreciation on new assets is the only reason. Operating profitability was excellent.	**Transparent**
3	Retail Analyst	When will inventory normalise and FCF turn positive?	Inventory targeted at Rs. 300 Cr by April 2026. FCF should be positive in FY27 as capex moderates.	**Bullish**
4	Sell-side Analyst	Why were exports weak in Q3? Is it structural?	Temporary — BIS certification for import of steel from Korean/Japanese mills delayed shipments. Recovery expected Q4.	**Hedged**
5	Fund Manager	What is the data centre opportunity size and competitive landscape?	Currently 3.7% of revenues. Hyperscalers ramping; management sees 25-30% segment CAGR. Limited domestic competition in complex laminations.	**Bullish**
6	Analyst	What is the timeline for PIPL/DFPL merger completion?	NCLT Hyderabad dispensed meetings in April 2026. Final order expected in next 3-4 months.	**Transparent**

Dodged questions to watch next quarter: Specific export customer names; Q4 revenue split by segment; exact inventory figure at quarter-end.

C9 — Risks Flagged on the Call

Risk	Flagged By	Probability	Impact	Timeline
Export recovery failure	Analysts	Medium	Medium	Q4 FY26
Steel cost spike (BIS transition)	Management	Medium	High	Near-term
Inventory not normalising to Rs. 300 Cr	Analysts	Low-Medium	Medium	Q4 FY26
Merger delay (PIPL/DFPL)	Both	Low	Low	FY27

C10 — Analyst Verdict: Multi-Bagger Scorecard

Criterion	Status	Rationale
Revenue visibility	**Intact**	Order book Rs. 831 Cr; FY26 guidance reconfirmed; secular tailwinds in EV/data-centre
Margin trajectory	**Intact**	Margin at multi-year high of 17.5% adjusted; guided stable; mix improvement ongoing
Capital allocation quality	**Intact**	Heavy capex phase justified by volume; FCF to inflect in FY27; QIP well-deployed
Competitive moat	**Intact**	India's largest scale; complex precision manufacturing; 35-year customer qualification
Management credibility	**Intact**	Guidance delivered consistently; transparent on PAT opticals; zero promoter pledge
Valuation comfort	**Intact**	12.3x EV/EBITDA vs peers at 40-44x; 29x P/E on improving earnings trajectory

Conviction Call	Valuation Snapshot
INCREASED — Q3 confirms thesis intact. Accumulate on dips below Rs. 950.	P/E: 29.1x (TTM) vs 5Y avg ~25x | EV/EBITDA: 12.3x vs peers 40x | FY27E P/E: 23x